

Business Case: Stop Losing Money on Tanker Waiting Fees

Kenya Pipeline Company (KPC) | For: CFO and Board | By: Brian Mugambi | 21 September 2026

1. The Problem

When a tanker stays in a KPC depot longer than its contract allows, KPC is entitled to a waiting fee (demurrage). Today these waiting times are recorded on paper gate passes and separate spreadsheets at five terminals. This costs KPC in two ways. **First, real charges never get billed:** we estimate about **KES 45 million a year** is missed. **Second, billed charges are disputed:** oil marketing companies challenge hand-made timesheets, so invoices take **45 to 60 days** to settle. Weighbridge scales are not connected to billing, and journals are posted by hand, leaving weak evidence for auditors.

2. The Proposed Solution

An automated billing system, already built and working as a live demonstration. It reads the gate and weighbridge records, applies each customer's contracted free time and rates, checks every charge against six compliance rules, and sends approved charges to KPC's finance system (SAP). Clean charges go through automatically; unusual ones wait for a person to approve. Every charge keeps a tamper-proof record. **Phase 2** moves it from demonstration to live use at the Nakuru, Eldoret and Kisumu depots, connects the KRA cargo-tracking and EPRA feeds, and brings all 40+ oil marketing companies onto it.

3. Financial Impact (KES millions, 3-year view)

Measure	How it is worked out	Base case	Cautious case
Share of missed fees we recover	Assumption (the demonstration showed 94.8%)	50%	25%
Annual savings (before running costs)	45 × recovery share	22.50	11.25
Annual savings	Above less 3.5 yearly running cost	19.00	7.75
Net gain over 3 years	(Annual savings × 3) less 12 one-time cost	45.00	11.25
Return on investment (ROI)	Net gain ÷ one-time cost (12) × 100	375%	94%
Payback period	One-time cost ÷ annual savings × 12 months	7.6 months	18.6 months

Inputs: missed fees KES 45M a year (project estimate, not yet checked against audited records); one-time cost KES 12M; running cost KES 3.5M a year (both are planning assumptions pending a Finance quote). **Not counted, so real value is higher:** cash arriving in about 4 days instead of 45 to 60, and lower audit effort. Even in the cautious case the investment pays back in about 19 months.

4. Top Two Risks and How We Handle Them

Risk 1: The savings estimate is not yet proven. The KES 45M figure is modelled, and the demonstration uses sample data, not audited results. *Response:* Finance and Internal Audit check the estimate against real depot records before the main funding is released, and we report the cautious case above as our planning floor.

Risk 2: Depot data and customer acceptance. Gate and weighbridge records may arrive late or incomplete, and some oil marketing companies may resist automatic billing. *Response:* roll out one depot at a time, send every unusual charge to a person for approval, and give customers the full record behind each charge so disputes are settled with evidence, not argument.

5. Recommendation: GO

We ask the Board to approve Phase 2 funding of KES 12 million (planning estimate), released in two steps: **Step 1**, fund a Finance-led check of the missed-fee estimate and the Nakuru depot start-up; **Step 2**, release the rest for Eldoret, Kisumu, the regulator connections and all 40+ oil marketing companies once Step 1 confirms savings of at least the cautious case (KES 7.75M a year). Expected result: KES 19.00M a year in recovered revenue, payback in about 8 months.

Sources: KPC Revenue Assurance capstone deck and platform (demurrage-revenue-platform.vercel.app). Figures are illustrative and based on the platform's demonstration data and stated planning assumptions; they are not audited financials.